STRATEGIC BUSINESS MANAGEMENT
Suggested Answers
July-August 2023

Answer to the Question# 1(a)(i):

i) Objectives of Management: a) **Increasing Production and Sales:** One of the primary objectives of management for XYZ Power Ltd. is to increase production to meet the growing demand for solar lanterns. By increasing production, the company aims to generate higher sales and revenue. This aligns with the goal of business growth and financial success.

b) **Employing Local Workforce:** The company's decision to employ people from the nearby village is aimed at providing job opportunities to the local community. This objective supports economic development in the rural area by creating employment opportunities and improving the standard of living for the local residents.

c) **Social Responsibility:** XYZ Power Ltd. is addressing a social issue by setting up a factory in a remote village that lacks reliable electricity. This demonstrates a commitment to social responsibility, where the company aims to contribute to the well-being of the community by providing a reliable source of lighting through solar lanterns.

d) **Education and Childcare:** The decision to open schools and crèches for the children of its employees indicates another objective – investing in human capital development. By providing educational and childcare facilities, the company aims to improve the overall quality of life for its employees and their families, as well as contribute to the educational development of the village.

ii) Values Communicated to Society:

1. **Social Responsibility:** The company communicates the value of social responsibility by addressing the lack of reliable electricity in rural areas. By setting up the factory and providing solar lanterns, XYZ Power Ltd. shows its commitment to improving the living conditions and quality of life in underserved communities.
2. **Community Development:** The company's actions of employing local villagers and establishing educational and childcare facilities communicate the value of community development. XYZ Power Ltd. recognizes the importance of contributing to the local community's growth and development by providing job opportunities, education, and support for families.

In summary, XYZ Power Ltd.'s objectives of management revolve around business growth, social responsibility, local employment, and community development. The values the company communicates to society include social responsibility and

community development, both of which demonstrate a holistic approach to business that goes beyond profits and considers the well-being of the community.

Answer to the Question# 1(a)(ii):

a. Employment opportunities.
b. Working for the community.

Answer to the Question# 1(b)(i):

Shama should not choose debt capital for financing the modernization and expansion of her food processing business because the fixed operating cost of the company is high. It cannot take the additional burden of fixed commitments in terms of payment of interest and capital by issuing debt.

Answer to the Question# 1(b)(ii):

The other two factors that Shama must keep in mind which taking this decision are stated below:

a. **Risk:** - financial risk refers to a situation when a company is unable to meet its fixed financial charges. Financial risk increases with the higher use of debt.
b. **Flexibility:** - too much dependence on debt reduces the debt raising capacity of the firm. So, to keep flexibility the company should not use debt to its full potential.

Answer to the Question# 2(a)(i):

a) Analysis of Footwear Industry in Bangladesh:

i) Porter's Five Forces Analysis:

1. **Threat of New Entrants:** The industry has low barriers to entry in terms of production, but creating a strong brand and establishing a distribution network requires substantial investment. Fit Footwear has an advantage due to its existing relationships and reputation.
2. **Bargaining Power of Suppliers:** There is an abundance of hides and skins in Bangladesh, reducing the bargaining power of suppliers. However, if Fit Footwear plans to improve its sustainability practices, it might face challenges in sourcing environmentally-friendly leather.
3. **Bargaining Power of Buyers:** Fit Footwear faces competition from larger exporters. The threat of buyers switching to competitors might be moderate. However, Fit Footwear's strong relationships with suppliers and subcontractors provide a competitive advantage.
4. **Threat of Substitutes:** There are various substitutes for footwear, including other types of shoes and footwear made from different materials. However, Fit Footwear's focus on leather and artificial leather products could differentiate it from other substitutes.
5. **Rivalry Among Competitors:** The industry is fragmented with numerous small producers. Fit Footwear competes with both local and international players. Fit Footwear's competitive advantage lies in its relationships, quality control, and employee-friendly practices.

ii) PEST Analysis:

1. **Political Factors:** The government's incentives for exporters and efforts to cluster tanneries for environmental benefits impact the industry. Political stability and favorable trade policies can affect growth and international partnerships.
2. **Economic Factors:** The high economic growth in Bangladesh has increased the demand for leather and footwear products. Economic stability impacts consumer spending, both domestically and internationally.
3. **Social Factors:** Fit Footwear's employee-friendly practices and community services align with social values. The company's commitment to sustainability and social responsibility could resonate well with socially conscious consumers.

4. **Technological Factors:** The lack of modern design centers, R&D labs, and training institutes in clusters hampers innovation. Fit Footwear's strategy of hiring a full-time designer could address this limitation.

b) Analysis of Fit Footwear's Current Strategy: Fit Footwear focuses on producing leather and artificial leather footwear with an emphasis on B2B sales. Its competitive advantage lies in employee-friendly practices, community services, strong relationships with suppliers, and quality control. Fit Footwear's value proposition is a combination of quality products, sustainability, and social responsibility.

c) Analysis of Alternatives:

Option 1: Build a Brand:

Pros:

- Higher margins due to direct sales.
- More control over design and product offerings.
- Potential to establish a strong brand identity.
- Reduced waste through utilization of scrap leather.

Cons:

- Competition with existing wholesale clients.
- Need for significant investment in website, marketing, and logistics.
- Uncertainty about breaking into the US market.
- Time and attention constraints while building the brand.

Option 2: Focus on Wholesale Clients through Trade Shows: *Pros:*

- Exposure to potential long-term clients.
- Recognition from high-profile buyers.
- Opportunity to strengthen existing relationships.

Cons:

- Up-front investment in trade show participation.
- Uncertainty about converting trade show leads into repeat clients.
- Limited success rate with trade show orders.

Option 3: Pursue Alternative Sales Channels (Subscription Boxes): *Pros:*

- Brand exposure through subscription boxes.
- Access to new customers.
- Potential for brand awareness and value alignment with socially conscious consumers.

Cons:

- Need to adapt products for subscription box format.
- Requirement for green trade certification.
- Challenges in controlling leather sources for certification.
- Potential additional costs for product adaptation.

Factors to Consider for the Final Decision:

1. **Fit with Long-Term Goals:** Which option aligns better with Fit Footwear's long-term goals, values, and strategic direction?
2. **Resource Allocation:** Consider the financial and human resource requirements for each option. Can Fit Footwear allocate the necessary resources without compromising its current operations?
3. **Competitive Advantage:** Evaluate how each option leverages Fit Footwear's competitive advantage, relationships, and existing strengths.
4. **Market Potential:** Assess the potential of each option to tap into new markets, increase brand exposure, and reach a wider customer base.
5. **Risk and Uncertainty:** Analyze the potential risks associated with each option, including competition, market fluctuations, and uncertainties related to external factors (like the ongoing Russia-Ukraine War and COVID-19).
6. **Time and Effort:** Consider the time and effort required to implement each option successfully.
7. **Customer Impact:** Evaluate how each option might impact existing wholesale clients and customer relationships.

Mr. Zaber should carefully weigh these factors, considering both short-term gains and long-term sustainability, to arrive at the best decision for Fit Footwear's growth and future success.

Answer to the Question# 3(a):

a) Comfort Fashion's Segmentation Strategy and Business-Level Strategy:

Segmentation Strategy: Comfort Fashion employs a two-tiered segmentation strategy, targeting different customer segments with distinct offerings.

1. **Full-Line Department Stores:** These stores target a relatively affluent customer base seeking affordable luxury. The stores are located in upscale areas and offer exclusive, high-quality merchandise with a luxurious shopping experience. The emphasis is on excellent customer service, well-trained staff, and a pleasant atmosphere. The no-questions-asked return policy reinforces customer-centric values.
2. **Comfort Fashion Rack Stores:** These stores cater to a younger demographic and offer discounted branded clothing. They are smaller and located in suburban shopping areas. Despite the lower price point, the customer service philosophy remains consistent, focusing on creating a positive shopping experience.

Business-Level Strategy: Comfort Fashion pursues a differentiation strategy. It differentiates itself from competitors through offering exclusive and fashionable merchandise, superior customer service, and a luxurious shopping environment. This strategy targets customers willing to pay a premium for a unique and elevated shopping experience. The company's focus on customer satisfaction and value delivery further supports its differentiation approach.

b) Actions at the Functional Level to Implement Strategy:

1. **Human Resources:** Comfort Fashion's well-compensated, well-trained, and attentive salespeople reinforce the emphasis on customer service and quality. The situational interviews during hiring ensure the right service attitude is in place.
2. **Operations and Inventory Management:** The high inventory turnover rate reflects efficient operations, contributing to a positive customer experience. Mobile checkout devices eliminate checkout lines, reducing customer wait times.
3. **Marketing and Sales:** The emphasis on customer-centric values and the "customers are right" philosophy resonates with the target audience. The emphasis on luxury, quality, and unique designs is communicated through store locations, merchandise displays, and customer interactions.

c) Fit of Comfort Fashion Rack Stores with Business-Level Strategy:

Comfort Fashion Rack stores align with the company's business-level strategy of differentiation:

1. **Value Proposition Consistency:** Despite catering to a different demographic and offering discounted clothing, Rack stores maintain the company's focus on excellent customer service and value delivery. The same customer-centric values are upheld.
2. **Attracting New Customers:** Rack stores serve as a source of new customers, introducing them to Comfort Fashion's values and service quality. This aligns with the company's goal of expanding its customer base.
3. **High Sales per Square Foot:** Rack stores generate higher sales per square foot than the full-line department stores, indicating that they effectively deliver value even with discounted offerings. This reinforces the differentiation strategy's success.
4. **Maintaining Quality and Experience:** Despite the lower price point, Rack stores provide a consistent shopping experience that aligns with the company's core values, ensuring that even discount shoppers receive excellent service.

In summary, Comfort Fashion's business-level strategy is differentiation, targeting customers with a penchant for luxury, exclusive designs, and superior customer service. The segmentation strategy involves both full-line department stores and Rack stores, each aligned with the company's differentiation approach while catering to different customer segments. The consistent emphasis on value delivery and customer-centric values across all aspects of the business has enabled Comfort Fashion to successfully implement its strategy.

Answer to the Question# 4(a, b & c):

Report to the board of directors (BoD), CYBA LTD.

Appendix 1, 2, 3 & 4 are part of this report.

This report assesses the potential value of acquiring Anatra Ltd. for the equity holders of Cyba Ltd., both with and without considering the benefits of the reduction in taxation and in employee costs.

The possible issues raised by reduction in taxation and in employee costs are discussed in more detail below. The assessment also discusses the estimates made and the methods used.

Assessment of value created

Cyba Ltd. estimates that the premium payable to acquire Anatra Ltd. largely accounts for the benefits created from the acquisition and the divestment, before considering the benefits from the tax and employee costs' saving. As a result, before these savings are considered, the estimated benefit to Cyba Ltd.'s shareholders of $128 million (see Appendix 3) is marginal. Given that there are numerous estimations made and the methods used make various assumptions, as discussed below, this benefit could be smaller or larger. It would appear that without considering the additional benefits of cost and tax reductions, the acquisition is probably too risky and would probably be of limited value to Cyba Ltd.'s shareholders.

If the benefits of the taxation and employee costs saved are taken into account, the value created for the shareholders is $5,609 million (see Appendix 4), and therefore significant. This would make the acquisition much more financially beneficial. It should be noted that no details are provided on the additional pre-acquisition and post-acquisition costs or on any synergy benefits that Cyba Ltd. may derive in addition to the cost savings discussed. These should be determined and incorporated into the calculations. Basing corporate value on the price-earnings (PE) method for the sell-off, and on the free cash flow valuation method for the absorbed business, is theoretically sound.

The PE method estimates the value of the company based on its earnings and on competitor performance. With the free cash flow method, the cost of capital takes account of the risk the investors want to be compensated for and the non-committed cash flows are the funds which the business can afford to return to the investors, as long as they are estimated accurately.

However, in practice, the input factors used to calculate the organisation's value may not be accurate or it may be difficult to assess their accuracy. For example, for the free cash flow method, it is assumed that the sales growth rate, operating profit margin, the taxation rate and incremental capital investment can be determined accurately and remain constant. It is assumed that the cost of capital will remain unchanged and it is assumed that the asset beta, the cost of equity and cost of debt can be determined accurately. It is also assumed that the length of the period of growth is accurate and that the company operates in perpetuity thereafter. With the PE model, the basis for using the average competitor figures needs to be assessed, for example, have outliers been ignored; and the basis for the company's higher PE ratio needs to be justified as well. The uncertainties surrounding these estimates would suggest that the value is indicative, rather than definitive, and it would be more prudent to undertake sensitivity analysis and obtain a range of values.

Key factors to consider in relation to the redundancies and potential tax savings

It is suggested that the BoD should consider the impact of the cost-savings from redundancies and from the tax payable in relation to corporate reputation and ethical considerations.

At present, Cyba Ltd. enjoys a good reputation and it is suggested that this may be because it has managed to avoid large scale redundancies. This reputation may now be under threat and its loss could affect Cyba Ltd. negatively in terms of long-term loss in revenues, profits and value; and it may be difficult to measure the impact of this loss accurately.

Whilst minimising tax may be financially prudent, it may not be considered fair. For example, currently there is ongoing discussion and debate from a number of governments and other interested parties that companies should pay tax in the countries they operate and derive their profits, rather than where they are based.

Whilst global political consensus in this area seems some way off, it is likely that the debate in this area will increase in the future. Companies that are seen to be operating unethically with regard to this, may damage their reputation and therefore their profits and value.

Nonetheless, given that Cyba Ltd. is likely to derive substantial value from the acquisition, because of these savings, it should not merely disregard the potential savings. Instead it should consider public relations exercises it could undertake to minimise the loss of reputation, and perhaps meet with the government to discuss ways forward in terms of tax payments.

Conclusion

The potential value gained from acquiring and unbundling Anatra Ltd. can be substantial if the potential cost savings are taken into account. However, given the assumptions that are made in computing the value, it is recommended that sensitivity analysis is undertaken and a range of values obtained. It is also recommended that Cyba Ltd. should undertake public relations exercises to minimise the loss of reputation, but it should probably proceed with the acquisition, and undertake the cost saving exercise because it is likely that this will result in substantial additional value.

Report compiled by: AN Accountant
Date: XX/XX/XXXX

Appendix 1: Estimate of value created from the sell-off of the equipment manufacturing business

Average industry PE ratio = \$2.40/\$0.30 = 8

Anatra Ltd.'s equipment manufacturing business PE ratio = 8 × 1.2 = 9.6

Value from sell-off of equipment manufacturing business

Share of pre-tax profit = 30% × \$2,490 million = \$747m

After tax profit = \$747 million × (1 – 0.22) = \$582.7m

Value from sell-off = \$582.7 million × 9.6 = \$5,594m (approximately)

Appendix 2: Estimate of the combined company cost of capital

Anatra Ltd., asset beta = 0.68

Cyba Ltd., asset beta:

Equity beta =1.10

Proportion of market value of debt = 40%; Proportion of market value of equity = 60%

Asset beta = 1.10 × 0.60/(0.60 + 0.40 × 0.78) = 0.72

Combined company, asset beta

Market value of equity, Anatra Ltd. = \$3 × 7,000 million shares = \$21,000m

Market value of equity, Cyba Ltd. = 60% × \$60,000 million = \$36,000m

Asset beta = (0.68 × 21,000 + 0.72 × 36,000)/(21,000 + 36,000) = 0.71 (approximately)

Combined company equity beta = 0.71 × (0.6 + 0.4 × 0.78)/0.6 = 1.08

Combined company, cost of equity = 4.3% + 1.08 × 7% = 11.86%

Combined company, cost of capital = 11.86% × 0.6 + 6.00% × 0.78 × 0.4 = 8.99, say 9%

Appendix 3: Estimate of the value created for Cyba Ltd.'s equity holders from the acquisition

Anatra Ltd., Medical R&D value estimate:

Sales revenue growth rate = 5%

Operating profit margin = 17.25%

Tax rate = 22%

Additional capital investment = 40% of the change in sales revenue Cost of capital = 9% (Appendix 2)

Free cash flow growth rate after four years = 3%

Current sales revenue = 70% × \$21,400m = \$14,980m

Cash flows, years 1 to 4 (\$ millions)

Year	1	2	3	4
Sales revenue	15,729	16,515	17,341	18,208
Profit before interest and tax	2,713	2,849	2,991	3,141
Tax	597	627	658	691
Additional capital investment	300	314	330	347
Free cash flows	1,816	1,908	2,003	2,103

Present value of cash flows (9% discount)	1,666	1,606	1,547	1,490

Value, years 1 to 4: $6,309m

Value, year 5 onwards: [$2,103 × 1.03/(0.09 – 0.03)] × 1.09 – 4 = $25,575m

Total value of Anatra Ltd.'s medical R&D business area = $31,884m

Total value of Anatra Ltd. following unbundling of equipment manufacturing business and absorbing medical R&D business: $5,594m (Appendix 1) + $31,884m = $37,478m (approximately)

Anatra Ltd., current market value of equity = $21,000m Anatra Ltd., current market value of debt = $9,000m Premium payable = $21,000m × 35% = $7,350m

Total value attributable to Anatra Ltd.'s investors = $37,350m

Value attributable to Cyba Ltd.'s shareholders from the acquisition of Anatra Ltd. before taking into account the cash benefits of potential tax savings and redundancies = $128m

Appendix 4: Estimate of the value created from savings in tax and employment costs following possible redundancies

Cash flows, years 1 to 4 ($ millions)

Year	1	2	3	4
Cash flows (4% increase p.a.)	1,600	1,664	1,731	1,800
Present value of cash flows (9%)	1,468	1,401	1,337	1,275

Total value = $5,481m

Value attributable to Cyba Ltd.'s shareholders from the acquisition of Anatra Ltd. After taking into account the cash benefits of potential tax savings and redundancies = $5,609m

Answer to the Question# 5(a):

Gross amounts of annual interest receivable by Sembilan Co from Ratus Bank based on year 1 spot rate and years 2, 3 and 4 forward rates:

Year 1 0.025 × $320m = $8m
Year 2 0.037 × $320m = $11.84m
Year 3 0.043 × $320m = $13.76m
Year 4 0.047 × $320m = $15.04m

Gross amount of annual interest payable by Sembilan Co to Ratus Bank: 3.76¼% × $320m = $12.04m
At the start of the swap, Sembilan Co will expect to receive or (pay) the following net amounts at the end of each of the next four years:

Year 1: $8m – $12.04m = $(4.04m) payment
Year 2: $11.84m – $12.04m = $(0.20m) payment
Year 3: $13.76m – $12.04m = $1.72m receipt
Year 4: $15.04m – $12.04m = $3m receipt

The reason the equivalent fixed rate of 3.76¼% is less than the 3.8% four-year yield curve rate, is because the 3.8% rate reflects the zero-coupon rate with only one payment made in year four. Here the bond pays coupons at different time periods when the yield curve rates are lower. Therefore the fixed rate is lower.

Answer to the Question# 5(b):

After taking the swap, Sembilan Co's net effect is as follows:

	% Impact	**Yield Interest 3%**	**Yield Interest 4%**
Borrow at yield interest + 60bp	(Yield + 0.6)%	$(11.52m)	$(14.72m)
Receive yield	Yield	$9.6m	$12.8m
Pay fixed 3.76¼%	(3.76¼)%	$(12.04m)	$(12.04m)
Fee 20bp	(0.2)%	$(0.64m)	$(0.64m)
Net costs	(4.56¼)%	$(14.6m)	$(14.6m)

The receipt and payment based on the yield curve cancels out interest rate fluctuations, fixing the rate at 3.76¼% + 0.6% + 0.2% = 4.56¼%.

Answer to the Question# 5(c):

Reducing the amount of debt by issuing equity and using the cash raised from this to reduce the amount borrowed changes the capital structure of a company and Sembilan Co needs to consider all the possible implications of this.

As the proportion of debt increases in a company's financial structure, the level of financial distress increases and with it the associated costs. Companies with high levels of financial distress would find it more costly to contract with their stakeholders. For example, they may have to pay higher wages to attract the right calibre of employees, give customers longer credit periods or larger discounts, and may have to accept supplies on more onerous terms. Furthermore, restrictive covenants may make it more difficult to borrow funds (debt and equity) for future projects. On the other hand, because interest is payable before tax, larger amounts of debt will give companies greater taxation benefits, known as the tax shield. Presumably, Sembilan Co has judged the balance between the levels of equity and debt finance, such that the positive and negative effects of gearing result in minimising the required rate of return and maximising the value of the company.

By replacing debt with equity the balance may no longer be optimal and therefore the value of Sembilan Co may not be maximised. However, reducing the amount of debt would result in a higher credit rating for the company and reduce the scale of restrictive covenants. Having greater equity would also increase the company's debt capacity. This may enable the company to raise additional finance and undertake future profitable projects more easily. Less financial distress may also reduce the costs of contracting with stakeholders.

The process of changing the financial structure can be expensive. Sembilan Co needs to determine the costs associated with early redemption of debt. The contractual clauses of the bond should indicate the level and amount of early redemption penalties. Issuing new equity can be expensive especially if the shares are offered to new shareholders, such as costs associated with underwriting the issue and communicating or negotiating the share price. Even raising funds by issuing rights can be expensive.

As well as this, Sembilan Co needs to determine the extent to which the current shareholders will be able to take up the rights and the amount of discount that needs to be given on the rights issue to ensure 100% take up. The impact on the current share price from the issue of rights needs to be considered as well. Studies on rights issues seem to indicate that the markets view the issue of rights as a positive signal and the share price does not reduce to the expected theoretical ex-rights price. However, this is mainly because the markets expect the funds raised to be used on new, profitable projects. Using funds to reduce the debt amount may not be viewed so positively.

Sembilan Co may also have to provide information and justification to the market because both the existing shareholders and any new shareholders will need to be assured that the company is not benefiting one group at the expense of the other. If sufficient information is not provided then either shareholder group may discount the share price due to information asymmetry. However, providing too much information may reduce the competitive position of the company.

Answer to the Question# 6(a):

The economic downturn and the periods of closure are indicators that Westecs's stores are impaired. Poor functionality and low-use suggests that the website might be impaired too. As such, per IAS 36 Impairment of Assets, impairment reviews must be carried out. This involves comparing the carrying amount to the recoverable amount. It is unlikely that individual assets can be tested for impairment so need to be tested as part of a cash generating unit (CGU). It may be that each store is a CGU. Any impairment of the assets will be charged to profit or loss.

IAS 38 Intangible Assets requires annual review of the amortisation period. It would seem that the useful life of the website is too high because it will probably require replacement in the near future. Any change in the useful life is dealt with in accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. Amortisation rates are an estimate and so changes are dealt with prospectively (i.e. in current and future periods).

Due to the decline in customer demand, Westecs is likely to be holding surplus inventories. Per IAS 2 Inventories, inventories should be measured at the lower of cost and net realisable value. Surplus stock might

be disposed of, or scrapped, for zero proceeds or sold at a heavy discount. This may result in net realisable value falling below cost. Any expense that arises on remeasurement of inventories will be recognised in profit or loss.

According to IAS 37 Provisions, Contingent Liabilities and Contingent Assets, a provision must be recognised if there is a present obligation from a past event that will lead to a probable outflow of resources that is capable of being measured reliably. There is no obligation to pay redundancy because there is no detailed restructuring plan in place. There is no obligation to incur the future operating loss because Westecs could choose to cease trading. As such, Westecs cannot provide for the redundancy costs or the future operating loss.

Due to Westecs's economic downturn, it may not have sufficient cash to repay its short-term bank loans, creating an uncertainty over whether the entity is a going concern. In accordance with IAS 1 Presentation of Financial Statements, going concern uncertainties must be disclosed in the notes to the financial statements.

Answer to the Question# 6(b):

Residual values

IAS 16 Property, Plant and Equipment defines residual value as the estimated amount which an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal, if the asset were already at the age and in the condition expected at the end of its useful life. IAS 16 requires the residual value to be reviewed at least at the end of each financial year end. If the estimated residual value is higher than an asset's carrying amount then no depreciation is charged.

Vessels with 10 year useful life

Kensignton Ltd.'s calculation of the residual value of the vessels with a 10-year useful life is not acceptable under IAS 16 Property, Plant and Equipment. Undesirable volatility is not a convincing argument to support the use of a residual value equivalent to half of the acquisition cost. The residual value should be the value at the reporting date as if the vessel were already of age and in the condition expected at the end of its useful life. Kensignton Ltd. should prepare a new model to determine residual value which would take account of broker valuations at the end of each reporting period.

Vessels with 30 year useful life

As regards the vessels which are kept for the whole of their economic life, a residual value based upon the scrap value of steel is acceptable. Therefore, the vessels should be depreciated based upon the cost less the scrap value of steel over the 30-year period.

When major planned maintenance work is to be undertaken, the cost should be capitalised. The engine overhaul will be capitalised as a new asset which will then be depreciated over the 10-year period to the next overhaul. The depreciation of the original capitalised amount will typically be calculated such that it had a carrying amount of nil when the overhaul is undertaken.
This is not the case with one vessel, because work was required earlier than expected. In this case, any remaining carrying amount of the old engine and overhaul cost should be expensed immediately.

Funnels

The initial carve out of components should include all major maintenance events which are likely to occur over the economic life of the vessel. Sometimes, it may subsequently be found that the initial allocation was insufficiently detailed, in that not all components were identified. This is the case with the funnels. In this situation it is necessary to determine what the carrying amount of the component would currently be had it been initially identified. This will sometimes require the initial cost to be determined by reference to the replacement cost and the associated accumulated depreciation charge determined using the rate used for the vessel. This is likely to leave a significant carrying amount in the component being replaced, which will need to be written off at the time the replacement is capitalised.

Answer to the Question# 6(c):

There exists currency fluctuation risk as the loan has been made in US Dollars where the project may generate part of its cash flow in BDT. It takes loan from ADB in USD and will have to pay in USD. If the project's cash flow fails to generate enough BDT to purchase the required amount of USD, the project may fail to repay. The project may generate a good amount of revenue in BDT, but due to fluctuation of USD, it may fail to buy enough of USD. Thus, the project faces currency fluctuation risk.

Available tools to immune the loan from currency fluctuation risk are:

i. Hedging
ii. Bank Guarantee
iii. Reserve Account

Answer to the Question# 7(a):

Briefing notes

Subject: Business risks facing Retail Bangladesh Co. Ltd (RBCL)

Introduction

These briefing notes evaluate the business risks facing our firm's new audit client, Retail Bangladesh Co. Ltd (RBCL), which operates in the retail industry, and its year under review ended 31 December 2022.

Ability to produce fashion items.

The company is reliant on staff with the skill to produce high fashion clothes ranges, and with the ability to respond quickly to changes in fashion. If Retail Bangladesh Co. Ltd (RBCL) fails to attract and retain skilled designers, then the clothing ranges may not be desirable enough to attract customers in the competitive retail market. The high staff turnover in the design team indicates that Retail Bangladesh Co. Ltd (RBCL) struggles to maintain consistency in the design team. This could result in deterioration of the brand name and, ultimately, reduced sales.

There would be a high cost associated with frequent recruiting – this would have an impact on operating margins.

Inventory obsolescence and margins

There is a high operational risk that product lines will go out of fashion quickly, because new ranges are introduced so quickly to the stores (every eight weeks), leading to potentially large volumes of obsolete inventory. These product lines may be marked down to sell at a reduced margin. The draft results show that operating margins have already reduced from 17·9% in 2021 to 16·8% in 2022. Any significant markdown of product lines will cause further reductions in margins.

Wide geographical spread of business operations

Retail Bangladesh Co. Ltd (RBCL) operates many stores, many distribution centers, and has an outsourced function which is located overseas. This type of business model could be hard to control, increasing the likelihood of inefficiencies, systems deficiencies, and theft of inventories or cash.

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E-commerce – volume of sales

Online sales now account for BDT 255 million (BDT 250 per order x 1,020,000 orders). In the previous year, on-line sales accounted for BDT 158 million (BDT 300 per order x 526,667 orders). This represents an increase of 61·4% (255 – 158/158 x 100%). One of the risks associated with on-line sales is the scale of the increase in the volume of transactions, especially when combined with a new system introduced recently. There is a risk that the system will be unable to cope with the volume of transactions, possibly leading to unfilled orders and dissatisfied customers. This would harm the reputation of the company and the RBCL brand.

The company has recently upgraded its computer system to integrate sales into the general ledger. A disaster plan should have been put into place, for use in the event of a system shutdown or failure. The risk is that no plan is in place and the business could lose a substantial amount of revenue in the event of system failure.

E-commerce – security of systems

It is crucial that the on-line sales system is secure as customers are providing their credit card details to the site. Any breach of security could result in credit card details being stolen, and Retail Bangladesh Co. Ltd (RBCL) may be liable for losses suffered by customers if their credit card details were used fraudulently. There would clearly be severe reputational issues in this case. Additionally, the system must be secure from virus infiltration, which could cause system failure, interrupted sales, and loss of customer goodwill.

E-commerce – tax and regulatory issues

There are several compliance risks which arise due to on-line sales. Overseas sales expose Retail Bangladesh Co. Ltd (RBCL) to potential sales tax complications, such as extra tax to be paid on the export of goods to abroad, and additional documentation on overseas sales that may be needed to comply with regulations. Another important regulatory issue is that of data protection.

Retail Bangladesh Co. Ltd (RBCL) faces the risk of non-compliance with any data protection regulation relevant to customers providing personal details to the on-line sales system. Retail Bangladesh Co. Ltd (RBCL) is now making sales overseas. If these sales are made in a different currency to Retail Bangladesh Co. Ltd (RBCL)'s currency, the business will be exposed to exchange rate fluctuations which will have an impact on the company's profit margin.

Outsourcing of phone ordering system

The fact that Retail Bangladesh Co. Ltd (RBCL) engaged the outsource provider offering the least cost could lead to business risks. Staff at the call center may not be properly motivated, due to low wages being paid, and may fail to provide a quality service to Retail Bangladesh Co. Ltd (RBCL)'s customers, leading to loss of customer goodwill. As the call center is overseas, the staff may have a different first language to Retail Bangladesh Co. Ltd (RBCL)'s customers, leading to customer frustration if they are not understood, and incorrect orders possibly being made. In addition, there may be staff shortages due to the low wage offered, leading to delays in answering calls and lost sales.

Overseas call centers are not always popular with customers, so Retail Bangladesh Co. Ltd (RBCL) may find that fewer customers use this method of purchase. However, the on-line system is there as an alternative for customers, and is proving popular, so this may not be a significant risk for the company.

The fact that Retail Bangladesh Co. Ltd (RBCL) opted for the lowest cost provider for the phone ordering system could pose a potential problem in that the provider may not be sustainable in the long term. If the provider fails to generate sufficient profit or cash, it may shut down, leaving Retail Bangladesh Co. Ltd (RBCL) without a crucial part of the sales generating system.

Ethical Trading Initiative

Retail Bangladesh Co. Ltd (RBCL) has aligned itself to an initiative supporting social and environmental well-being, presumably to promote its corporate social responsibility. The risk associated with this is that the claims that products have been produced in a responsible way can easily be undermined if the supply chain is not closely managed and monitored. Such claims are often closely scrutinized by the public and pressure groups, and any indication that Retail Bangladesh Co. Ltd (RBCL)'s products have not been sourced responsibly will lead to loss of customer goodwill and waste of expenditure on the advertising campaign.

Distribution centers

There is a risk of non-compliance with the operating license issued by the local government authority. The authority will monitor the operating hours of the distribution centers, and the noise levels created by them. Breaches of the terms of the license could lead to further revocations of licenses, causing huge operational problems for Retail Bangladesh Co. Ltd (RBCL) if the centers are forced to close for any period. Fines and penalties may also be imposed due to the breach of the license.

Financial performance

Total revenue has decreased by BDT 80 million, or 5·2% (80/1,535 x 100). Operating profit has also fallen, by BDT 30 million, or 10·9% (30/275 x 100). The information also shows that the average spending per order has fallen from BDT 300 to BDT 250. These facts may signify cause for concern, but operating expenses for 2022 are likely to include one-off items, such as the costs of the new on-line sales system, and the advertising of the 'fair-trade' initiative. The fall in spending per customer could be a symptom of general economic difficulties. The company has increased the volume of on-line transactions significantly; so, on balance the overall reduction in profit and margins is unlikely to be a significant risk at this year-end, though if the trend were to continue it may become a more pressing issue.

Retail Bangladesh Co. Ltd (RBCL)'s finance costs have increased by BDT 3 million, contributing to a fall in profit before tax of 13%. The company has sufficient interest cover to mean that this is not an immediate concern, but the company should ensure that finance costs do not escalate.

Conclusion

Retail Bangladesh Co. Ltd (RSCL) faces several operational and compliance risks, the most significant of which relate to the need for constant updating of the product lines and the potential for obsolete inventory. The new online system also raises risks in terms of security, systems reliability, and the sheer volume of transactions. Retail Bangladesh Co. Ltd (RSCL) must also carefully manage the risk of non-compliance with

local government authority regulations. The trend in financial performance should be carefully monitored, as further reductions in revenue and margins could indicate that a change in business strategy is needed.

Answer to the Question# 7(b):

Risk of material misstatements

Valuation of inventory

High fashion product lines are likely to become out-of-date and obsolete very quickly. Retail Bangladesh Co. Ltd (RBCL) aims to have new lines in store every eight weeks, so product lines have only a short shelf life. Per IAS 2 Inventories, inventory should be valued at the lower of cost and net realizable value and could be easily overvalued at the year-end if there is not close monitoring of sales trends, and necessary mark downs to reflect any slow movement of product lines. The decline in revenue could indicate that the RBCL brand is becoming less fashionable, leading to a higher risk of obsolete product lines.

Orders made over the phone or by the internet are prone to higher levels of returns than items purchased in a store, as the customer may find that the item is not the correct size, or they do not like the item when it arrives. The risk is insufficient provision has been made in the financial statements for pre-year-end sales being returned post year-end.

Completeness/existence of inventory

Retail Bangladesh Co. Ltd (RBCL) has 210 stores and numerous distribution centers. It may be hard to ensure that inventory counting is accurate in this situation. There may be large quantities of inventory in-transit at the year-end, which may be missed from counting procedures, meaning that the inventory quantities are incomplete. Equally, it may be difficult for the auditor to verify the existence of inventory if it cannot be physically verified due to being in-transit at the year-end. Inventory could be the subject of fraudulent financial reporting, as it would be relatively easy for management to 'inflate' quantities of inventory to increase the amount recognized on the statement of financial position. The clothing items could also be at risk of theft, making inventory records inaccurate.

Unrecorded revenue

The on-line and phone sales systems could contribute to a risk of misstated revenue figures. Firstly, the on-line sales system is integrated with the general ledger, so sales made through the system should automatically be recorded in the accounting system. However, the system is new, and it is possible that the integration is not functioning as expected. The scenario does not state whether the phone sales system is integrated, but it is unlikely given that the function is outsourced, so a similar risk of unrecorded transactions may arise here.

Sales made in the store will include a proportion of cash sales. The risk is that the cash could be misappropriated, and the revenue unrecorded.

Over-capitalization of IT/website costs

The on-line sales system has been upgraded at a significant cost. There is a risk that costs have been incorrectly capitalized. Website Costs states that only costs relating to the development phase of the project should be capitalized, but costs of planning, and all costs when the website is operational should be expensed. Software development costs follow similar accounting principles. Hence there is a risk of overvalued assets and unrecognized expenses.

Overvaluation of the brand name

The RBCL brand name is recognized as an intangible asset, which is the correct accounting treatment for a purchased brand. The risk is that the asset is overvalued, for two reasons. Firstly, if no amortization is being charged on the asset, management assumes that there is no end to the period in which the brand will generate an economic benefit. This may be optimistic, and there is a risk that the brand will be overvalued, and operating expenses incomplete if there is no annual write-off. An intangible asset which is not being amortized should be subject to an annual impairment review according to IAS 38 Intangible Assets. If no such review has been conducted, the asset could be overvalued. The falling revenue figures could indicate that the assets are overvalued.

Secondly, a significant amount has been spent on promoting the brand name during the year. This amount should be spent, and if any has been capitalized, the brand is overvalued, and operating expenses incomplete.

Overvaluation of properties

There are two indications from the scenario that properties may need to be tested for impairment, and so could be overvalued. The first is the potential for distribution centers' operating licenses to be revoked. If this were to occur, the asset would cease to provide economic benefit, triggering the need for an impairment review. Secondly, the average revenue per store has fallen. IAS 36 Impairment of Assets suggests that worse economic performance than expected is an indicator that an asset could be impaired. For these reasons, both stores and distribution centers have the potential to be overvalued.

Unrecognized provision/undisclosed contingency

The revocation of an operating license could lead to a fine or penalty being paid to the local authority. Two licenses have been revoked during the year. The risk is that Retail Specialist Co. Ltd (RSCL) has not either provided for any amount payable or disclosed the existence of a contingent liability in accordance with IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

Opening balances and comparative figures

As this is our first-year auditing Retail Bangladesh Co. Ltd (RBCL), extra care should be taken with opening balances and comparative figures, as they were not audited by our firm. Additional audit procedures will need to be planned.

Answer to the Question# 8:

Ethical and other matters to be considered before accepting KMG Ltd as a client of the firm:
Requirements and guidance relevant to accepting and continuing client relationships is contained in ISQC 1 Quality Control for Firms that Perform Audits and Reviews of Financial Statements and Other Assurance and Related Services Engagements. The fundamental requirements are that a firm must consider:

- Its competence to perform the engagement and whether the firm has the capabilities, including time and resources to do so,
- Whether the relevant ethical requirements can be complied with, and
- The integrity of the client, and whether there is information which would lead it to conclude that the client lacks integrity.

Competence and resources

Looking at each consideration in turn, there seems no reason why Ahmed & Associates would not have the competence to carry out the assignment, which is a limited assurance review of historical financial statements. Being a firm of Chartered Accountants, and performing assurance services such as the audit of Maxwell Ltd, means that the firm has the relevant knowledge and experience to perform a high quality limited assurance review.

However, the pressure to perform the audit for a low fee could impact on Ahmed & Associates's ability to perform a high quality limited assurance review if insufficient resources are made available, given the potential restriction on the fee which can be charged to provide the service. ISQC 1 also mentions that where the client is aggressively concerned with maintaining the firm's fees as low as possible, this can indicate a lack of integrity of the client.

Ethical issues

In terms of ethics there are several matters to consider. First, it appears that Maxwell Ltd is putting pressure on Ahmed & Associates to accept the engagement. Maxwell Ltd is a relatively significant client of Ahmed & Associates, providing 10% of the firm's annual practice income, and there is an intimidation threat in that Maxwell Ltd has threatened to move to another audit provider if Ahmed & Associates does not accept KMG Ltd as a client and perform the work for a low fee. This could also be perceived as a self-interest threat in that Ahmed & Associates has a financial interest in maintaining a good relationship with Maxwell Ltd.

A further ethical issue arises from the suggestion that Ahmed & Associates should provide tax planning advice to KMG Ltd and prepare its tax submissions. This would give rise to a self-review threat because Ahmed & Associates would have some input to the tax figures which form part of the financial statements which would then be subject to the limited assurance review. Providing the tax planning advice could also be seen as acting on behalf of management, further impairing the objectivity of the limited assurance provided on the financial statements.

Ahmed & Associates should consider whether safeguards can be used to reduce any ethical threats to an acceptable level, for example, through the use of separate teams to provide the limited assurance review and the tax services and by having an independent second partner to review the work performed. If safeguards do not reduce the threats to an acceptable level, then the tax service should not be carried out in addition to the limited assurance review.

Client integrity

Preparing the personal tax computations of Mr. Probal Chowdhury is less of an ethical issue in terms of objectivity as his personal tax is a separate issue and not reflected in the company's financial statements, but there may be other issues with providing this advice, linked to integrity, which will be discussed next.

The integrity of Mr. Probal Chowdhury will need to be carefully evaluated. There is nothing wrong with him having business interests in several companies, though information about each of these will need to be obtained. The key issues with integrity relate to the breach of employment law and his taking money from a company pension plan to set up a business which is managed by his son. The breach of employment law indicates that Mr. Probal Chowdhury has a questionable reputation and possibly that he has been involved in criminal activity, depending on what laws have been breached, and the seriousness of the non-compliance. The information comes from a newspaper article, so it may not be very credible and may not even be true, and more information will need to be sought on this issue.

Taking money from the company pension plan is likely to be a breach of the relevant regulations, and it would seem that this was done for the benefit of his son. The fact that this business is located in a foreign country makes the business arrangements complicated, and while it could be completely innocent, it could also mean that there is something more sinister behind the connections between the companies, for example, it could be an arrangement to facilitate money laundering.

Ahmed & Associates must obtain sufficient information to carefully evaluate the appropriateness of accepting KMG Ltd as a client, and they must document the acceptance decision in accordance with ISQC.

---The End---